

VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

NAGPUR

STATUTORY AUDIT REPORT & FINANCIAL STATEMENTS

**FOR THE FINANCIAL YEAR 2023-24
FOR THE ASSESSMENT YEAR 2024-25**



Audited By:
RKAS & CO.
CHARTERED ACCOUNTANTS



R K A S & C O .
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT

To,

The Members of Virtual Galaxy Infotech Private Limited

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the financial statements of **Virtual Galaxy Infotech Private Limited** ("the Company"), which comprise the balance sheet as at 31st March 2024, and the statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as 'the Financial Statements')

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2024 and its Profit and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered

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Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the Financial Statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, Business Responsibility Report but does not include the Financial Statements and our auditor's report thereon.

Our opinion on the Financial Statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the Financial Statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Financial Statements, or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these Financial Statements that give a true and fair view of the financial position, financial performance, and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility





also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

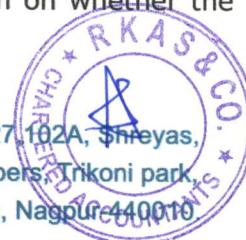
The Board of Directors is responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the





company has adequate internal financial controls system in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Financial Statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledge user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in planning the scope of our audit work and in evaluating the results of our works and to evaluate the effect of the any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

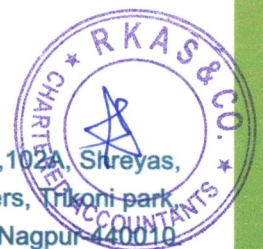




From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

- 1 As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 As required by Section 143(3) of the Act, we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account
 - d) In our opinion, the aforesaid Financial Statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
 - e) On the basis of the written representations received from the directors as on 31st March, 2024 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.
 - f) Since the Company's turnover as per latest audited financial statements is more than Rs.50 Crores but its borrowings from banks and financial institutions at any time during the year is less than Rs.25 Crores, the Company is not exempted from getting an audit opinion with respect to the adequacy of the internal financial controls over financial reporting of the company and the operating effectiveness of such controls vide notification dated June 13, 2017; and





- g) With respect to the other matters to be included in the Auditors Report in accordance with the requirement of section 197(16) of the Act, as amended:

In our opinion and to the best of our information and according to the explanations given to us, the company has paid remuneration to its director.

- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. The Company did not have any pending litigation on its financial position in its financial statements.
- ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
- iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
- iv. a) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or securities premium or any other sources or kind of funds) by the Company to or in any person(s) or entity(ies), including foreign entities ('the intermediaries'), with the understanding, whether recorded in writing or otherwise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ('the Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf the Ultimate Beneficiaries;

- b) The management has represented that, to the best of its knowledge and belief, as disclosed in note 59 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ('the Funding parties'), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding party ('Ultimate Beneficiaries') or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and





- c) Based on such audit procedures performed as considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the management representations under sub-clauses (a) and (b) above contain any material misstatement.
- v. The Company has neither declared nor paid dividend during the year.
- vi. On the basis of our examination which included test check, the Company, in respect of financial year commencing from 1st April, 2023, has used an accounting software for maintaining the books of account which has feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all the relevant transactions recorded in the software. Further, during the course of our audit we did not come across any instance of audit trail being tampered.

As proviso to rule 3(1) of the Companies (accounts) rules, 2014 requires all companies which use accounting software for maintaining their books of account, to use such an accounting software which has a feature of audit trail, with effect from the financial year beginning on 1 April 2023 and accordingly, reporting under rule 11(g) of Companies (audit and auditors) rules, 2014 (as amended) on preservation of audit trail as per the statutory requirement for recorded retention is not applicable for the current financial year ended 31st March 2024.

ASHISH SHAHU

Partner

Membership. No. 150960

For and on Behalf of

RKAS & Co

Chartered Accountants

FRN: 135727W

UDIN: 24150960BKHAAX4389

Nagpur Dated the

9th April, 2024





ANNEXTURE 'A' TO THE INDEPENDENT AUDITOR'S REPORT

The Annexure referred to in the Independent Auditors' Report to the Members of the Company on the Financial Statements for the year ended March 31, 2024, and on the basis of information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we report that:

1. In respect of the Company's fixed assets:

- a) A) The Company has maintained proper records, showing full particulars, including quantitative details and situation of the fixed Assets.
B) The company is maintaining proper records showing full particulars of intangible assets.
- b) The Company has a program of verification to cover all the items of fixed assets in a phased manner which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the program, certain fixed assets were physically verified by the Management during the year. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
- c) According to the information and explanations given to us, the records examined by us and based on the examination we report that there are no immovable properties in the name of company, hence this clause is not applicable.
- d) The Company has not revalued its Property, Plant and Equipment or intangible assets during the year. Therefore, the reporting as per paragraph 3(I) (d) of the order is not required.
- e) No proceedings have been initiated or are pending against the Company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and Rules made thereunder. Accordingly, reporting under clause 3(i)(e) of the Order is not applicable to the Company.





2.

a) We are informed that inventories have been physically verified by the management during the year and also at the end of the year. In our opinion, the frequency of verification is reasonable. In our opinion and according to the explanations given to us, the procedures of physical verification of inventories followed by the Management are reasonable and adequate in relation to the size of the Company and the nature of its business.

b) In our opinion and according to the information and explanations given to us, the Company is maintaining proper records of inventories. The discrepancies noticed on verification between physical stocks and book records were not more than 10% in each class and have been properly dealt with in the books of accounts.

c) The Company has been sanctioned working capital limits of ₹ 4 crore, from Bank of Maharashtra on the basis of the Security of the current assets of the Company. Since the sanctioned limit is not in excess of 5 crores therefore reporting under para 3(ii)(b) of the order is not applicable.

3. During the year, the Company has not made investments, provided any guarantee and security and granted any loans and advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties hence clause 3(iii)a to 3(iii)f is not applicable to the company.

4. In our opinion and according to the Information and explanations given to us, the Company has complied with the provision of Section 185 and 186 of the Act, with respect to loans and investments made and securities offered as Lien.

5. In our opinion, and according to the information and explanations given to us, the Company has not accepted any deposits or there is no amount which has been considered as deemed deposit within the meaning of sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly,





reporting under clause 3(v) of the Order is not applicable to the Company.

6. The maintenance of cost records has not been specified by the Central Government under sub section (1) of section 148 of the Companies Act, 2013 for the business activities carried out by the Company. Hence, reporting under clause (vi) of the order is not applicable to the company.
7. According to the records, information and explanations, provided to us, the Company is generally regular in depositing with appropriate authorities undisputed amounts including ESIC if any, P.F., T.D.S., P.T. and GST and other statutory dues applicable to it and no undisputed amounts payable were outstanding as on 31st March 2024 for a period of more than six months from the date they become payable.
8. According to the information and explanations given to us and the records of the Company examined by us, as at March 31, 2024, there were no such transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
9.
 - a) The Company has not default in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
 - b) The Company has not been declared willful defaulter by any bank or financial institution or government or any government authority.
 - c) In our opinion and according to the information and explanations given to us, money raised by way of term loans were applied for the purposes for which these were obtained.
 - d) Accordingly, to the information and explanation given to us and the procedures performed by us, and on an overall examination of the financial statements of the





Company, we report that no funds raised on short term basis have been used for long term purposes by the company.

e) According to the information and explanations given to us and on an overall examination of the financial statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary. Accordingly, reporting under clause 3(ix)(e) of the Order is not applicable to the Company.

f) According to the information and explanations given to us, the Company has not raised any loans during the year on the pledge of securities held in its subsidiary. Accordingly, reporting under clause 3(ix)(f) of the Order is not applicable to the Company.

10. a) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) during the year and hence reporting under clause 3(x)(a) of the Order is not applicable.

b) During the year, the Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) and hence reporting under clause 3(x)(b) of the Order is not applicable.

11. a) To the best of our knowledge and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the period covered by our audit.

b) No report under Section 143(12) of the Act has been filed with the Central Government for the period covered by our audit.

c) According to the information and explanations given to us including the representation made to us by the Management of the Company, there are no whistleblower-complaints received by the Company during the year.



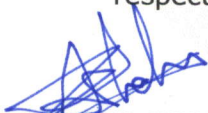


12. The Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it. Accordingly, reporting under clause 3(xii) of the Order is not applicable to the Company.
13. In our opinion and according to the information and explanations given to us, all transactions entered into by the Company with related parties are in compliance with Sections 177 and 188 of the Act, where applicable. Further, details of such related party transactions have been disclosed in the Standalone Financial Statements, as required under Indian Accounting Standard (Ind AS) 24, Related Party Disclosures specified in Companies (Indian Accounting Standards) Rules 2015 and prescribed under Section 133 of the Act.
14. a) In our opinion and based on our examination, the Company does not have an internal audit system and is not required to have an internal audit system as per the provisions of section 138 of the Companies Act 2013.
- b) Since the Company is not required to have the internal audit system hence the clause 3(xiv)(b) is not applicable to the company.
15. According to the information and explanation given to us, the Company has not entered into any non-cash transactions with its Directors or persons connected with them and accordingly, provisions of Section 192 of the Act are not applicable to the Company.
16. a) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause 3(xvi)(a) & (b) of the Order is not applicable.
- b) In our opinion, there is no core investment company within the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016) and accordingly reporting under clause 3(xvi)(c) & (d) of the Order is not applicable.





17. The Company has not incurred any cash loss in the current as well as the immediately preceding financial year.
18. There has been no resignation of the Statutory Auditors during the year. Accordingly, reporting under clause 3(xviii) of the Order is not applicable to the Company.
19. According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the Standalone Financial Statements, our knowledge of the plans of the Board of Directors and Management, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of Balance Sheet as and when they fall due within a period of one year from the Balance Sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the Balance Sheet date, will get discharged by the Company as and when they fall due.
20. Since the provisions of section 135 of the Company Act, 2013 with regard to corporate social responsibility are not applicable to the company hence clause 3(xx) of the order is not applicable.
21. The reporting under clause 3(xxi) is not applicable in respect of audit of standalone financial statements of the company. Accordingly, no comment has been included in respect of said clause under this report.


ASHISH SHAHU

Partner

Membership. No. 150960

For and on Behalf of

RKAS & Co

Chartered Accountants

FRN: 135727W

UDIN: 24150960BKHAAX4389

Nagpur Dated the

9th April, 2024





ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE STANDALONE FINANCIAL STATEMENTS OF VIRTUAL GALAXY INFOTECH PRIVATE LIMITED

Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

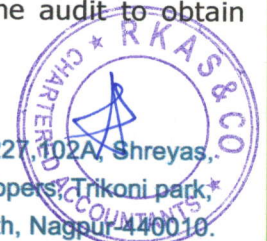
We have audited the internal financial controls over financial reporting of M/s. Virtual Galaxy Infotech Private Limited as of March 31, 2024 in conjunction with our audit of the Standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain





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reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the Standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Standalone financial statements.



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**Inherent Limitations of Internal Financial Controls over Financial Reporting**

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

**ASHISH SHAHU**

Partner

Membership. No. 150960

For and on Behalf of

RKAS & Co

Chartered Accountants

FRN: 135727W

UDIN: 24150960BKHAAX4389

Nagpur Dated the

9th April, 2024

VIRTUAL GALAXY INFOTECH PVT. LTD.
Balance Sheet as on 31st March 2024

		(Fig in ₹)	
PARTICULARS	Note No.	31st March 2024	31st March 2023
I. EQUITY AND LIABILITIES :			
1 SHAREHOLDERS' FUNDS			
Share Capital	2.01	11,00,01,600	11,00,01,600
Reserves and Surplus	2.02	32,56,82,337	16,51,68,153
Money Received Against Share Warrants		-	-
Sub-total		43,56,83,937	27,51,69,753
Share Application Money Pending Allotment		42,85,010	-
Minority Interest		-	-
3 NON-CURRENT LIABILITIES			
Long-Term Borrowings	2.03	34,15,25,079	34,05,23,284
Other Long-Term Liabilities	2.04	7,10,38,574	5,36,39,850
Long Term Provisions	2.05	51,07,345	-
Sub-total		41,76,70,998	39,41,63,134
4 CURRENT LIABILITIES			
Short-Term Borrowings	2.06	4,48,71,390	4,06,04,795
Trade Payable	2.07	10,74,20,310	9,09,31,503
Other Current Liabilities	2.08	8,65,10,104	5,71,18,727
Short-Term Provisions	2.09	6,26,05,258	1,36,42,000
Sub-total		30,14,07,062	20,22,97,025
TOTAL EQUITIES AND LIABILITIES		1,15,90,47,007	87,16,29,912
II. ASSETS:			
1 NON-CURRENT ASSETS			
Property, Plant & Equipment			
Tangible Assets	2.10	18,84,46,790	23,69,79,718
Tangible Asset Under Development - WIP	2.10	30,49,05,997	9,00,23,655
Intangible Assets	2.10	11,46,31,282	9,47,09,200
Intangible Asset under Development - WIP	2.10	12,65,48,244	5,01,08,296
Sub-total		73,45,32,313	47,18,20,869
Non Current Investments	2.11	52,50,000	1,52,50,020
Deferred tax Assets (Net)	2.12	2,56,451	63,747
Long Term Loans and Advances	2.13	-	-
Other Non Current Assets	2.14	2,06,14,510	2,13,90,230
Sub-total		2,61,20,961	3,67,03,997
2 CURRENT ASSETS			
Current Investments		-	-
Inventories	2.15	10,76,618	7,39,584
Trade Receivables	2.16	25,03,62,968	23,27,77,720
Cash and Cash Equivalents	2.17	2,18,73,162	2,26,03,726
Short-Term Loans and Advances	2.18	9,76,16,512	9,00,84,795
Other Current Assets	2.19	2,74,64,473	1,68,99,221
Sub-total		39,83,93,733	36,31,05,046
TOTAL ASSETS		1,15,90,47,007	87,16,29,912
Significant Accounting policies	1.00		

The notes referred to above form an integral part of the Financial Statements.
As per our Report Attached of even date.

Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
9th of April 2024
UDIN: 24150960BKHAAX4389



For **VIRTUAL GALAXY INFOTECH PVT. LTD.**

A. V. Padhye
COMPANY SECRETARY

A. N. Shende
Director
DIN- 02179381

S. P. Pande
Director
DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.
Profit and Loss for the year ended 31st March 2024

PARTICULARS		Note No.	(Fig in ₹) 31st March 2024	(Fig in ₹) 31st March 2023
I.	Revenue from operations	2.20	61,46,39,455	58,48,39,949
II.	Other income	2.21	5,70,306	7,36,544
III.	Total Income (I + II)		61,52,09,761	58,55,76,493
IV.	LESS : EXPENDITURE			
	Cost of Material Consumed	2.22	20,03,57,331	32,20,98,785
	Changes in inventories of stock-in-trade	2.23	(3,37,034)	(2,84,404)
	Employee benefit expenses	2.24	7,10,30,507	9,77,01,877
	Finance costs	2.25	2,47,58,835	2,67,12,551
	Depreciation and amortization expenses	2.26	5,92,67,647	5,64,48,357
	Other Expenses	2.27	3,78,02,517	3,41,17,913
	Total Expenses		39,28,79,803	53,67,95,079
V.	Profit before exceptional and extraordinary items and tax		22,23,29,958	4,87,81,414
VI.	Exceptional items		-	-
VII.	Profit before extraordinary items and tax (V - VI)		22,23,29,958	4,87,81,414
VIII.	Extraordinary items		-	-
IX.	Profit before tax (VII - VIII)		22,23,29,958	4,87,81,414
X.	Tax expense :			
	a) Current tax expenses		6,20,08,478	1,36,42,000
	b) Current tax relating to prior years (net)		-	-
	c) Deferred tax charge/(credit)	2.12	(1,92,704)	(63,747)
	Net tax expenses/(benefit)		6,18,15,774	1,35,78,253
XI.	Profit / (Loss) for the period from continuing operations (IX-X)		16,05,14,184	3,52,03,161
XII.	Profit / (loss) for the period (XI + XIV)		16,05,14,184	3,52,03,161
XIII.	Earning per equity share :	2.31	14.59	3.20

As per our Report Attached of even date.

Aashish Shahu

Partner

Membership No. 150960

For and on behalf of

RKAS & Co.

Chartered Accountants

FRN: 135727W

Nagpur, dated the

9th of April 2024

UDIN: 24150960BKHAAX4389



For VIRTUAL GALAXY INFOTECH PVT. LTD.

A. N. Shende

Director

DIN- 02179381

A. V. Padhye
 COMPANY SECRETARY

S. P. Pande

Director

DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.
CASH FLOW STATEMENT AS ON 31ST MARCH 2024

Sr.No	Particulars	Amount in (₹)	
		As at 31st March 2024	As at 31st March 2023
		Amount (Rs.)	Amount (Rs.)
1	Cash Flow Operating activities		
	(a) Net Profit/ (Loss) before exceptional items and taxes	22,23,29,958	4,87,81,414
	Adjustments :		
	Depreciation & amortization	5,92,67,647	5,64,48,357
	Interest and Finance costs	2,47,58,835	2,67,12,551
	Interest income	(3,27,654)	(4,39,668)
	(Profit)/Loss on Sale of Fixed Assets	-	-
	Operating Profit before Working Capital changes	30,60,28,786	13,15,02,654
	(b) Working capital changes :		
	- (Increase)/Decrease in Inventories	(3,37,034)	(2,84,404)
	- (Increase)/Decrease in Trade Receivables	(1,75,85,248)	(12,06,02,679)
	- (Increase)/Decrease in Short Term Loans & Advances	(75,31,717)	(4,18,17,024)
	- Increase/(Decrease) in Trade Payables	1,64,88,807	6,16,12,298
	- Increase/(Decrease) in Other Current Liabilities	2,93,91,377	(37,16,905)
	- (Increase)/Decrease in Other Current Assets	(1,05,65,252)	(7,12,392)
	- Increase/(Decrease) in Long Term Liabilities	-	6,17,30,497
	- Increase/(Decrease) in Other Long Term Liabilities	1,73,98,724	5,27,74,490
	- Increase/(Decrease) in Short Term Borrowings	42,66,595	(6,31,28,913)
	- Increase/(Decrease) in Short Term Provisions	4,89,63,258	1,03,39,501
	- Increase/(Decrease) in Long Term Provisions	51,07,345	-
	Net cash from Operating Activities	39,16,25,641	8,76,97,123
	Less: Tax Paid	(6,20,08,478)	1,36,42,000
	Net cash from Operating Activities	32,96,17,163	10,13,39,123
2	Cash Flow from Investing Activities		
	(a) Increase in Fixed Assets	(32,19,79,091)	(8,82,11,791)
	(b) (Increase)/Decrease in Other Non-current assets	7,75,720	(62,60,660)
	(c) (Increase)/Decrease in Other Non-current Investments	1,00,00,020	-
	(d) Interest Received	3,27,654	4,39,668
	(e) Sale Consideration for Assets Sold	-	-
	Net cash from Investing Activities	(31,08,75,697)	(9,40,32,783)
3	Cash Flow from Financing Activities		
	(a) Increase/(Decrease) in Long Term Borrowings	10,01,795	-
	(b) Increase/(Decrease) in Share Application Money Pending Allotment	42,85,010	-
	(c) Interest and other Finance costs	(2,47,58,835)	(2,67,12,551)
	Net cash from Financing Activities	(1,94,72,030)	-
	Net increase/(decrease) in cash and cash equivalents	(7,30,564)	73,06,340
	Add : Cash and cash equivalents at the beginning of the period	2,26,03,726	1,52,97,386
	Cash and cash equivalents at the end of the period	2,18,73,162	2,26,03,726

NOTES

- 1 . The above statement has been prepared following Indirect Method as per AS - 3.
- 2 . Proceeds of long term and other borrowings are shown net of repayments.
- 3 . Cash and Cash Equivalents represent Cash, Fixed deposits and Bank Balances only.



Ashish Shahu
Partner
Membership No. 150960
For and on behalf of
RKAS & Co.
Chartered Accountants
FRN: 135727W

Nagpur, dated the
9th of April 2024
UDIN: 24150960BKHAAX4389



For VIRTUAL GALAXY INFOTECH PVT. LTD.


A. N. Shende
Director
DIN- 02179381



A. V. Padhye
COMPANY SECRETARY



S. P. Pande
Director
DIN- 02181154

VIRTUAL GALAXY INFOTECH PVT. LTD.

NOTE "1"- SIGNIFICANT ACCOUNTING POLICIES

1. Company over view:

Virtual Galaxy Infotech Pvt. Ltd. was incorporated on 12th September 1997. The company operates global organization possessing an experienced and dedicated team of dynamic professionals, capable of offering innovative, high-quality software products, solutions & specialized software services, in the domain of Banking & Finance, ERP, E-Governance, Web Service, Cloud Computing, Data Management & System Integration.

Basis of Preparation of Financial Statements:

The Financial Statements are prepared on an accrual basis of accounting and in accordance with the Generally Accepted Accounting Principles in India. These financial statements have been prepared to comply in all material aspects with the accounting standards notified under section 133 read with rule 7 of the Companies (Accounts) Rules, 2014 and the other relevant provisions of the Company's Act, 2013.

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Company's Act, 2013 based on the nature of the products and the time between the acquisition of assets for processing and their realization of cash and cash equivalents.

Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires change in the accounting policy hitherto in use.

Use of Estimates

The preparation of financial statements require estimates and assumptions to be made that affect the reported balances of assets as on the date of the financial statements and the reported amount of revenues and expenses during the reporting period. Accounting estimates could change from period to period. Actual results could differ from these estimates.

The following significant accounting policies are adopted in preparation of these financial statements -



VIRTUAL GALAXY INFOTECH PVT. LTD.

A. Property, Plant & Equipment

Tangible assets are shown under gross block are valued at cost of acquisition inclusive of inward freight, duties, taxes and other incidental expenses related to its acquisition. All such direct costs are capitalized when the tangible assets are ready to use.

B. Depreciation

Depreciation on all tangible assets is provided on Written down value Method in accordance with Schedule II of the Companies Act, 2013. Management has not charged the depreciation to the Software Development, since it is developing stage.

C. Impairment of Assets

An asset is treated as impaired when the carrying cost of assets exceeds its recoverable value. An impairment loss is charged to Statement of Profit & Loss in the year in which an asset is identified as impaired. The impairment loss recognized in prior accounting period is reversed if there has been change in the estimate of recoverable amount.

D. Inventory Valuation

Inventories are valued at lower of cost or net realizable value, whichever is lower. Inventories are valued at FIFO basis and includes all purchase related expenses.

E. Revenue Recognition

- a. Sales are recognized when goods are supplied and are recorded net of discounts. Sales values are presented net of Goods and Service tax in the statement of profit and loss account.
- b. Income from other receipts are recognized on completion and on acceptance by the customers.
- c. Interest income is recognized using proportion method, based on rates implicit in the transactions.



VIRTUAL GALAXY INFOTECH PVT. LTD.

F. Income from Investments

Current investments are carried at lower of cost and Quoted/Fair value, computed category wise. Long-Term Investments are stated at cost. Provision for diminution in the value of Long-term Investments is made only if such a decline is other than temporary.

G. Taxes on Income – Current and Deferred

Income Taxes are accounted for in accordance with Accounting Standard 22 on "Accounting for Taxes on Income", (AS 22) issued by The Institute of Chartered Accountants of India. Tax expense comprises both current tax and deferred tax. Current tax is measured at the amount expected to be paid or recovered from the tax authorities using the applicable tax rates. Deferred tax assets and liabilities are recognized for future tax consequence attributable to timing difference between taxable income and accounting income that are measure at relevant enacted tax rates. At each Balance sheet date the company reassesses unrealized deferred tax assets, to the extent they become reasonably certain or virtually certain of realization, as the case may be.

H. Retirement Benefits

Gratuity and all the other retirement benefits is accounted for on accrual basis. Company's contribution to provident fund and other fund is charges to Profit and Loss account. PFs are treated as defined contribution plans. PF Contribution is made to the Regional Provident Fund Commissioner.

I. Provisions and Contingencies

- a. Provisions involving substantial degree of estimation in measurement are recognized when there is a present obligation as a result of past events and it is probable that there will be an outflow of resources.
- b. Contingent liabilities are not recognized but are disclosed in the Notes when there is a possible obligation or a present obligation that probably will not require an outflow of resources or where a reliable estimate of the obligation cannot be made.



VIRTUAL GALAXY INFOTECH PVT. LTD.

- c. Contingent assets are neither recognized nor disclosed in the financial statements.

J. Foreign currency transactions and translations

Transactions in foreign currencies entered into by the Company are accounted at the exchange rates prevailing on the date of the transaction or at rates that closely approximate the rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are restated at the exchange rate prevalent on the Balance Sheet date and gain/ loss on such restatement is charged to the Statement of Profit and Loss.

K. Borrowing Costs

Borrowing costs that are attributable to the acquisition or construction of qualifying assets are capitalized as part of the cost of such assets. A qualifying asset is one that necessarily takes a substantial period of time to get ready for its intended use or sale. All other borrowing costs are charged to revenue.

L. Earnings per Share

Basic earnings per share is computed by dividing the profit / (loss) after tax (including the post-tax effect of extraordinary items, if any) by the weighted average number of equity shares outstanding during the year.

M. Cash and cash equivalents (for purposes of Cash flow statement)

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term balances, highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of changes in value.

N. Cash Flow Statements

Cash flows are reported using the indirect method, whereby profit before tax is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of the past or the future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. Cash flow from operating, Investing and Financing activities of the company are segregated accordingly.



Note 2: Notes on accounts as per revised schedule VI**SHARE HOLDERS FUND**

The Company has only one class of shares, referred to as equity shares having a par value of ₹ 10/- per share. Each holder of equity shares is entitled to one vote per share. The right of the shareholders is governed by the Articles and Association and the Companies Act.

2.01 SHARE CAPITAL**A.**

PARTICULARS	31st March 2024	31st March 2023
AUTHORISED CAPITAL : 2,50,00,000 Equity Shares of ₹ 10/- each	25,00,00,000	15,00,00,000
ISSUED, SUBSCRIBED & PAID UP CAPITAL : 1,10,00,160 Equity Shares of ₹ 10/- each	11,00,01,600	11,00,01,600
	11,00,01,600	11,00,01,600

B Details of Share Holding of more than 5% shares are set out below

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende % of Share holding	51,00,000 46.36%	51,00,000 46.36%
Sachin P. Pande % of Share holding	51,00,000 46.36%	51,00,000 46.36%

Note No. 2.1 (a) The Reconciliation of the No. of Shares outstanding at the beginning and at the end of the period

Particulars	Figures as at the end of the current reporting period	Figures as at the end of the previous reporting period
Equity Shares:		
Shares outstanding at the beginning of the year	1,10,00,160.00	1,10,00,160.00
Shares Issued during the year	-	-
Shares bought back during the year	-	-
Shares outstanding at the end of the year	1,10,00,160.00	1,10,00,160.00

Note No. 2.1 (b) The share holding of the Promoters

Name of shareholder	No. of share held	No. of share held
Avinash N. Shende % of Share holding % Change during the year	51,00,000 46.36% 0.00%	51,00,000 46.36% 0.00%
Sachin P. Pande % of Share holding % Change during the year	51,00,000 46.36% 0.00%	51,00,000 46.36% 0.00%

2.02 RESERVES AND SURPLUS

PARTICULARS	31st March 2024	31st March 2023
Retained Earnings		
Opening Balance	16,51,68,153	12,99,64,992
Add: Profit for the year	16,05,14,184	3,52,03,161
Less: Transfer to reserve, if any	-	-
Closing Balance	32,56,82,337	16,51,68,153
Total	32,56,82,337	16,51,68,153



2.03 LONG TERM BORROWINGS

PARTICULARS	31st March 2024	31st March 2023
Secured		
Term Loans		
From Banks	12,20,80,370	12,65,41,190
Loans From Related Parties	1,42,54,203	1,06,00,000
Other Loans and Advances Payable	15,06,86,790	13,92,31,485
Unsecured		
Term Loans		
From Banks - Unsecured	8,48,965	29,88,080
From Other Parties - Unsecured	5,36,54,751	6,11,62,529
Total	34,15,25,079	34,05,23,284

Details of Long Terms Loans from Bank availed by company are stated as under:

Long term loans are from Bank of Maharashtra, Shankar Nagar Nagpur, Branch are secured by way of Property Held by Both Directors of the Company and Hypothecation of all fixed asset as appering in the balance sheet of the company.

2.04 OTHER LONG TERM LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Creditors for Fixed Assets*	7,10,38,574	5,36,39,850
Total	7,10,38,574	5,36,39,850

* Creditor for fixed asset contains amounts payable to parties for Software developments.

2.05 LONG TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits	51,07,345	-
Total	51,07,345	-

2.06 SHORT TERM BORROWINGS:

PARTICULARS	31st March 2024	31st March 2023
Secured		
Loan Payable on Demand		
From Banks - Short Term	4,36,21,390	3,93,54,795
From Other Parties - Short Term	12,50,000	12,50,000
From Related Parties - Short Term	-	-
Total	4,48,71,390	4,06,04,795

Details of Cash Credit (Secured- Short Term) availed from bank.

1) Working capital loan is availed from Bank of Maharashtra, Shankar Nagar Nagpur Branch of ₹ 4 crores secured against the Hypothecation of Stocks and Receivables and collaterally secured by way of equitable mortgage on the properties held by both the directors of the company.

2) OD facility availed from Pusad Urban Credit Co-opertative Bank, secured against Fixed Deposit.

2.07 TRADE PAYABLES

PARTICULARS	31st March 2024	31st March 2023
Trade Payable - MSME	-	-
Trade Payable - Others	10,74,20,310	9,09,31,503
Trade Payable - Disputed MSME	-	-
Trade Payable - Disputed Other	-	-
Total	10,74,20,310	9,09,31,503



2.08 OTHER CURRENT LIABILITIES:

PARTICULARS	31st March 2024	31st March 2023
Interest accrued and due	1,08,000	16,077
Statutory Dues Payable	3,75,52,113	2,56,72,089
Advance from Customer	1,68,79,761	1,05,64,919
Audit Fees Payable	1,50,000	-
Rent Payable	1,41,259	1,26,259
Employees Payable	3,16,78,971	2,07,39,383
	8,65,10,104	5,71,18,727

2.09 SHORT TERM PROVISIONS:

PARTICULARS	31st March 2024	31st March 2023
Provision for Employee Benefits - Short Term	5,96,780	-
Provision for Taxation	6,20,08,478	1,36,42,000
Total	6,26,05,258	1,36,42,000

2.11 NON CURRENT INVESTMENTS

PARTICULARS	31st March 2024	31st March 2023
Investments in Equity Instruments	52,50,000	1,52,50,020
Total	52,50,000	1,52,50,020

2.12 DEFERRED TAX LIABILITY / (ASSETS)

PARTICULARS	31st March 2024	31st March 2023
Deferred Tax Asset / Liability		
Depreciation as per Companies Act	5,92,67,647	5,64,48,357
Depreciation as per Income Tax Act	5,84,96,830	5,61,93,369
Difference in WDV	7,70,817	2,54,988
Deferred Tax Asset / Liability	1,92,704	63,747
Expenses of Current Year Disallowed as per IT		
	-	-
Total DTL	-	-
Expenses of Prior Period allowed in Current Year as per IT		
	-	-
	-	-
Deferred Tax Asset / (Liability)	1,92,704	63,747
Net Deferred Tax Liability (DTL) at the beginning of the year	63,747	-
Net Deferred Tax Liability (DTL) Charged/(reversed) to Statement of profit and loss	1,92,704	63,747
Net Deferred Tax (Asset)/Liability as at Balance Sheet date	2,56,451	63,747



NOTE 2.10 - PROPERTY PLANT AND EQUIPMENTS

Tangible Assets

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	As on 31st March 2024	As on 31st March 2023
Property Plant And Equipments								
Land	-	-	-	-	-	-	-	-
Land and Buildings	-	-	-	-	-	-	-	-
Machinery	45,61,93,288	-	-	45,61,93,288	21,94,04,327	4,84,94,507	26,78,98,834	23,67,88,961
Motor Vehicles	55,649	-	-	55,649	55,649	-	55,649	-
Furnitures and Fixtures	27,61,222	-	-	27,61,222	26,66,938	25,555	26,92,493	94,284
Office Equipments	8,73,334	-	-	8,73,334	7,76,861	12,866	7,89,727	96,473
Capital Work In-Progress	9,00,23,655	-	-	9,00,23,655	-	-	-	9,00,23,655
TOTAL	54,99,07,148	-	-	54,99,07,148	22,29,03,775	4,85,32,928	27,14,36,703	32,70,03,373
Previous Year							49,33,52,787	

Intangible Assets

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	As on 31st March 2024	As on 31st March 2023
Banking & ERP Software								
	18,09,66,403	3,06,56,802	-	21,16,23,205	8,62,57,203	1,07,34,720	11,46,31,282	9,47,09,200
TOTAL	18,09,66,403	3,06,56,802	-	21,16,23,205	8,62,57,203	1,07,34,720	11,46,31,282	9,47,09,200
Previous Year								

Intangible Assets Under Development

Particulars	GROSS BLOCK (AT COST)			ACCUMULATED DEPRECIATION			NET BLOCK	
	As on 1st April 2023	Additions for the year	Deductions during the year	As on 31st March 2024	As on 1st April 2023	Additions for the year	As on 31st March 2024	As on 31st March 2023
Software Under Development								
	5,01,08,296	-	-	5,01,08,296	-	-	12,65,48,244	5,01,08,296
TOTAL	5,01,08,296	-	-	5,01,08,296	-	-	12,65,48,244	5,01,08,296
Previous Year								
TOTAL	78,09,81,847	3,06,56,802	-	81,16,38,649	30,91,60,978	5,92,67,648	36,84,28,626	47,18,20,869
Previous Year	69,27,70,057	7,83,13,535	-	78,09,81,847	25,27,12,620	5,64,48,358	30,91,60,978	44,00,57,437



2.13 LONG TERM LOANS AND ADVANCES

PARTICULARS	31st March 2024	31st March 2023
Unsecured, considered good		
Loans and Advances to Related Parties	-	-
Loans and Advances from Others	-	-
Total	-	-

2.14 OTHER NON-CURRENT ASSETS

PARTICULARS	31st March 2024	31st March 2023
Security Deposits	2,06,14,510	2,13,90,230
Total	2,06,14,510	2,13,90,230

2.15 INVENTORIES :

PARTICULARS	31st March 2024	31st March 2023
Finished Goods	10,76,618	7,39,584
Total	10,76,618	7,39,584

2.16 TRADE RECEIVABLES:

PARTICULARS	31st March 2024	31st March 2023
Trade Receivables outstanding for a period exceeding six months from the date they were due for payment		
Unsecured : Considered Good More than 6 Months	2,16,68,581	1,24,11,332
Other trade receivables		
Unsecured : Considered Good Less than 6 Months	22,86,94,387	22,03,66,388
Total	25,03,62,968	23,27,77,720

2.17 CASH AND CASH EQUIVALENTS:

PARTICULARS	31st March 2024	31st March 2023
Cash In Hand	12,477	27,553
With Banks in Current Accounts	2,43,834	38,99,143
Bank deposits Maturity More than 12 Months	2,16,16,851	1,86,77,030
Total	2,18,73,162	2,26,03,726

2.18 SHORT TERM LOANS AND ADVANCES:

PARTICULARS	31st March 2024	31st March 2023
Unsecured Considered Good		
Others		
Advance to Creditors	2,77,17,390	98,97,560
Employee Advances	1,19,40,068	68,80,528
Loans and Advances to Related Parties	-	7,33,06,707
Loans and Advances from Others	5,79,59,054	-
Total	9,76,16,512	9,00,84,795

2.19 OTHER CURRENT ASSETS:

PARTICULARS	31st March 2024	31st March 2023
Balance With Statutory Authorities	2,74,64,473	1,68,99,221
Total	2,74,64,473	1,68,99,221



2.20 REVENUE FROM OPERATIONS:

PARTICULARS	31st March 2024	31st March 2023
Sales of Goods and Services	56,96,85,637	47,67,00,517
Export Revenue	4,49,53,818	10,81,39,432
Total	61,46,39,455	58,48,39,949

2.21 OTHER INCOME :

PARTICULARS	31st March 2024	31st March 2023
Other Income	-	2,96,876
Interest Received	3,27,654	4,39,668
Profit on Sale of Shares	33,600	-
Foreign Exchange Gain / Loss	2,09,052	-
Total	5,70,306	7,36,544

2.22 COST OF MATERIAL CONSUMED

PARTICULARS	31st March 2024	31st March 2023
Material Consumed		
Opening Stock Material	-	-
Purchase Of Material	20,03,57,331	32,20,98,785
Closing Stock Of Material	-	-
Total	20,03,57,331	32,20,98,785

2.23 CHANGES IN INVENTORIES OF STOCK IN TRADE:

PARTICULARS	31st March 2024	31st March 2023
Closing Stock at the end of the year	10,76,618	7,39,584
Less : Opening Stock at the beginning of the year	7,39,584	4,55,180
Total	(3,37,034)	(2,84,404)

2.24 EMPLOYEE BENEFITS EXPENSES :

PARTICULARS	31st March 2024	31st March 2023
Salaries,allowances and other benefits	6,33,73,560	9,44,46,176
Contribution to Provident and other Funds	76,56,947	32,55,701
Total	7,10,30,507	9,77,01,877

2.25 FINANCE COSTS:

PARTICULARS	31st March 2024	31st March 2023
Finance Cost	2,16,87,122	2,15,51,685
Other Borrowing Cost	30,71,713	51,60,866
Total	2,47,58,835	2,67,12,551



2.26 DEPRECIATION AND AMORTISATION

PARTICULARS	31st March 2024	31st March 2023
Depreciations	5,92,67,647	5,64,48,357
Amortisations	-	-
Total	5,92,67,647	5,64,48,357

2.27 OTHER EXPENSES:

PARTICULARS	31st March 2024	31st March 2023
Direct Expenses		
ATM Service Charges	12,36,572	15,01,496
Data Entry Charges	14,50,000	-
Domain Renewal Client	72,839	-
Technical Charges Paid	87,11,225	3,42,886
Site Development Expenses	6,29,080	32,44,250
SMS Services	16,09,615	-
Total	1,37,09,331	50,88,632
Indirect Expenses		
Business Promotion Expenses	12,34,023	65,41,282
Electricity Exp.	28,74,531	32,12,672
Indirect Taxes	3,58,112	-
Insurance Expenses	25,590	-
Internet Expenses	29,42,114	-
Legal & Professional Charges	42,84,500	21,40,255
Licence and Certifications	1,62,780	-
Office Expenses	23,82,672	18,92,396
Postage & Courier	4,14,064	3,66,826
Printing and Stationery	76,944	2,00,457
Penalties and Charges	-	13,40,357
Rent Expenses	9,06,000	4,01,000
Repair & Maintenance Expenses.	2,13,522	9,89,858
ROC and Secretarial Expenses	1,60,800	3,62,000
Security Service Charges	43,896	1,30,696
Telephone Exp	-	31,00,752
Travelling & Conveyance Exp	78,14,101	76,58,059
Transportation Expenses	49,537	5,77,051
Auditor Remuneration		
a) Audit Fees	1,50,000	1,15,620
b) Taxation Matters	-	-
c) Company Law Matters	-	-
	2,40,93,186	2,90,29,281
Total	3,78,02,517	3,41,17,913

2.28 PAYMENT TO AUDITORS

PARTICULARS	31st March 2024	31st March 2023
Statutory Audit	1,50,000	1,00,000
Total	1,50,000	1,00,000



VIRTUAL GALAXY INFOTECH PVT. LTD.

NOTE "2"- NOTES TO ACCOUNTS

Additional Disclosures

2.29 Contingent liabilities and commitments (to the extent not provided for)

Particulars	As on March 31st, 2024	As on March 31st, 2023
Contingent liabilities and commitments	Nil	Nil

2.30 Disclosures required under Section 22 of the Micro, Small and Medium Enterprises Development Act, 2006

Particulars	As on March 31st, 2024		As on March 31st, 2023	
	Principle	Interest	Principle	Interest
Principal amount remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
Interest due thereon remaining unpaid to any supplier as at the end of the accounting year;	Nil	Nil	Nil	Nil
The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day;	Nil	Nil	Nil	Nil
The amount of further interest due and payable even in the succeeding year, until such date when the interest dues as above are actually paid.	Nil	Nil	Nil	Nil

(Note: The Company has not received any information from its vendors regarding their status under Micro, Small and Medium Enterprises Development Act, 2006. Nonetheless, there are no amounts for a period beyond the stipulated period as specified under Micro, Small and Medium Enterprises Act, 06.)



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2.31 Earnings per share (EPS)

Earnings per share is calculated in accordance with Accounting Standard 20 – "Earnings per share", notified by the Companies (Accounting Standards) Rules, 2006.

Particulars	As on March 31st, 2024	As on March 31st, 2023
Profit available for share holders	16,05,14,184	3,52,03,161
Weighted average no. of equity shares – Basic	1,10,00,160	1,10,00,160
Weighted average no. of equity shares – Diluted	-	-
Earnings per share – Basic	14.59	3.20

2.32 Related party disclosure

A. Name the related party and nature of relationship control exits

Sr. No.	Name of the party	Nature of Relationship
1	Virtual Galaxy Insurance Broker Private Limited	Both Directors are Director in the Company and the Company is holding more than 25.00% shares
2	Pay next Private Limited	Both Directors are Director in the Company and holding 99.75% shares
3	Virtual Galaxy Fintech Private Limited	Both Directors are Director in the Company and holding 100.00% shares
4	Avinash Shende	Key Management Personnel (KMP)
5	Sachin Pande	Key Management Personnel (KMP)
6	Shilpa Shende	Relative of (KMP)
7	Sampada Pande	Relative of (KMP)



VIRTUAL GALAXY INFOTECH PVT. LTD.

B. Transactions with related parties

Sr. No.	Nature of Transactions	For the year ending March 31st, 2024	For the year ending March 31st, 2023
1	Salary to Avinash Shende	49,22,400	40,22,400
2	Salary to Sachin Pande	49,22,400	40,22,400
3	Salary to Shilpa Shende	15,24,300	14,40,200
4	Salary to Sampada Pande	15,24,300	14,40,200
5	Purchase from Paynext Pvt. Ltd.	2,87,36,998	4,34,45,178
6	Purchase from Virtual Galaxy Fintech Pvt. Ltd.	14,84,50,385	9,24,62,894

C. Balance with related parties

Sr. No.	Nature of Transactions	For the year ending March 31st, 2024	For the year ending March 31st, 2023
1	Long Term Creditors - Paynext Pvt. Ltd.	5,10,37,340.00	-
2	Sundry Creditor - Paynext Pvt. Ltd.	1,44,91,243	2,55,69,320
3	Long Term Creditors - Virtual Galaxy Fintech Pvt. Ltd.	2,00,01,234	-
4	Sundry Creditor - Virtual Galaxy Fintech Pvt. Ltd.	2,99,79,376	20,27,298
5	Loan Repayable to Avinash Shende	1,26,21,013	78,00,000
6	Loan Repayable to Sachin Pande	16,33,190	-
7	Investment In equity shares - Virtual Galaxy Insurance Broker Pvt. Ltd.	52,50,000	52,50,000



VIRTUAL GALAXY INFOTECH PVT. LTD.

2.33 Ageing of Trade Payable

- For the Year Ended 31st March, 2024

Sr. No.	Particulars	Outstanding for the following periods from Due Date of payment				Total
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	
1	MSME	-	-	-	-	-
2	Others	10,74,20,310	-	-	-	10,74,20,310
3	Disputed Dues - MSME	-	-	-	-	-
4	Disputed Dues - Others	-	-	-	-	-
TOTAL		10,74,20,310	-	-	-	10,74,20,310

- For the Year Ended 31st March, 2023

Sr. No.	Particulars	Outstanding for the following periods from Due Date of payment				Total
		< 1 Year	1-2 Year	2-3 Year	> 3 Year	
1	MSME	-	-	-	-	-
2	Others	9,09,31,503	-	-	-	9,09,31,503
3	Disputed Dues - MSME	-	-	-	-	-
4	Disputed Dues - Others	-	-	-	-	-
TOTAL		9,09,31,503	-	-	-	9,09,31,503



VIRTUAL GALAXY INFOTECH PVT. LTD.

2.34 Ageing of Trade Receivables (Both-Current & Non-Current)

- For the Year Ended 31st March, 2024

Sr. No.	Particulars	Outstanding for following periods from due date of payment					Not Due for Payment as on 31st March 2024	Grand Total (A+B)
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)		
1	Undisputed Trade Receivables - Considered Good	22,86,94,387	2,16,68,581	-	-	25,03,62,968	-	25,03,62,968
2	Undisputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
3	Disputed Trade Receivables - Considered Good	-	-	-	-	-	-	-
4	Disputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
Total		23,32,74,155	2,16,68,581	-	-	25,03,62,968		25,03,62,968

- For the Year Ended 31st March, 2023

Sr. No.	Particulars	Outstanding for following periods from due date of payment					Not Due for Payment as on 31st March 2023	Grand Total (A+B)
		< 6 Months	6 Months - 1 Year	1 - 2 Years	2 - 3 Years	Total (A)		
1	Undisputed Trade Receivables - Considered Good	22,03,66,388	1,24,11,332	-	-	23,27,77,720	-	23,27,77,720
2	Undisputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
3	Disputed Trade Receivables - Considered Good	-	-	-	-	-	-	-
4	Disputed Trade Receivables - Considered Doubtful	-	-	-	-	-	-	-
Total		21,42,39,238	1,24,11,332	-	-	23,27,77,720		23,27,77,720



VIRTUAL GALAXY INFOTECH PVT. LTD.

2.35 With respect to ageing of the trade payable and trade receivables (Note no. 2.33 & 2.34 above), the accounting software used by the assessee is not configured to generate report as required under this purpose, in absence of any prevailing statutory requirement. In addition, the software/ system does not capture information relating to this compliance. Further, the details as furnished in the ageing tables are solely prepared by the management and we have not been provided with any workings or supporting to verify the same. Accordingly, in the absence of any workings or supporting, we were unable to comment on the accuracy of the information furnished above.

2.36 Capital-Work-in Progress (CWIP)

- Tangible Asset CWIP aging schedule

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Tangible CWIP	21,48,82,342	9,00,23,655	-	-	30,49,05,997
Total	21,48,82,342	9,00,23,655	-	-	30,49,05,997

- Intangible Asset CWIP aging schedule

CWIP	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Intangible CWIP	7,64,39,948	5,01,08,296	-	-	12,65,48,244
Total	7,64,39,948	5,01,08,296	-	-	12,65,48,244

2.37 During the financial year, company has diluted all its holding in its subsidiary SIP Fund Private Limited.

2.38 The Company has not generally called for confirmation from Trade payables, Trade receivables, unsecured loans, Loans and advances, deposit from parties/deposit with the parties etc. Management has however, Confirmed that these accounts are scrutinized and that these are current and are recoverable and payables.

2.39 Amounts in the financial statements are rounded off to rupees ~~in lakhs~~.

2.40 Previous year's figures have been regrouped / reclassified wherever necessary to correspond with the current year's classification / disclosure under Schedule III of the Companies Act 2013.



VIRTUAL GALAXY INFOTECH PVT. LTD.
FINANCIAL RATIOS FOR THE YEAR ENDING 31ST MARCH 2024

Sr. No.	Ratio	Numerator CY	Denominator CY	Numerator PY	Denominator PY	Current Period	Previous Period	% Variance	Reason for variance
a)	Current ratio	39,83,93,733	30,14,07,062	30,14,07,062	20,22,97,025	1.32	1.49	(11.29%)	NA
b)	Debt-equity ratio	45,74,35,043	43,56,83,937	43,47,67,929	27,51,69,753	1.05	1.58	(33.55%)	Variance due to Increase in Share holders fund due to increase in Profits.
c)	Debt service coverage ratio	30,63,56,440	4,31,59,354	13,19,42,322	2,54,62,549	7.10	5.18	36.98%	Variance due to Increase in Share holders fund due to increase in Profits before tax.
d)	Return on equity ratio	16,05,14,184	43,56,83,937	3,52,03,161	27,51,69,753	0.37	0.13	187.98%	Variance due to Increase in Share holders fund due to increase in Profits before tax.
e)	Inventory turnover ratio	61,46,39,455	9,08,101	58,48,39,949	5,97,382	676.84	979.00	(30.86%)	Variance due to Increase in inventory holding.
f)	Trade receivables turnover ratio	61,46,39,455	24,15,70,344	58,48,39,949	18,44,10,352	2.54	3.17	(19.77%)	NA
g)	Trade payables turnover ratio	20,03,57,331	9,91,75,907	32,20,98,785	6,00,95,349	2.02	5.36	(62.31%)	Variance due to lower payout to trade payable.
h)	Net capital turnover ratio	61,46,39,455	9,69,86,671	58,48,39,949	16,08,08,021	6.34	3.64	74.25%	Variance due to decrease in Net Curren Assets .
i)	Net profit ratio	16,05,14,184	61,46,39,455	3,52,03,161	58,48,39,949	0.26	0.06	333.86%	Variance due to Increase in Share holders fund due to increase in Profits.
j)	Return on capital employed	24,70,88,793	82,20,80,406	7,54,93,965	81,68,12,016	0.30	0.09	225.20%	Variance due to Increase in Share holders fund due to increase in Profits.
k)	Return on investment	16,05,14,184	43,56,83,937	3,52,03,161	27,51,69,753	0.37	0.13	187.98%	Variance due to Increase in Share holders fund due to increase in Profits.

Notes :

- For Debt-equity ratio (Total Debt/Shareholder's equity) :** Debt includes long term borrowings and short term borrowings as per note 2.03 & 2.04 respectively and shareholder's equity includes share capital and reserves & surplus as on 31st march 2024.
- For Debt service coverage ratio (Earnings available for debt service/Debt Service) :** Earnings Available for Debt service includes Profit before taxes increased by depreciation and Finance cost excluding finance charges and debt service includes Finance cost excluding finance charges and includes principal repayment on loans availed.
- For return on equity ratio (Net Profit after taxes/Average shareholder's equity) :** Average shareholder's equity is average of opening and closing of summation of share capital and reserves & surplus.
- For inventory turnover ratio (Sales/Average inventory) :** Sales includes net revenue from operations excluding duty drawback and average inventory is average of opening & closing inventory.
- For trade receivables turnover ratio (Sales/Average trade receivables) :** Sales includes net revenue from operations excluding duty drawback and average trade receivables is average of opening and closing trade receivables.
- For trade payables turnover ratio (Purchases/Average trade payables) :** Purchases includes purchases during the year as per note 2.22 and average trade payables is average of opening and closing trade payables.
- For net capital turnover ratio (Sales/Average working capital) :** Sales includes net revenue from operations excluding duty drawback and average working capital is current assets less current liabilities.
- For return on capital employed (Earnings before interest and taxes/Capital employed) :** Earnings before interest and taxes includes profit before tax increased by finance cost excluding finance charges and capital employed includes share capital & reserves and surplus as increased by debt and deferred tax has been reduced from the derived figure.
- For return on investment (Net Profit after taxes/Average shareholder's equity) :** Average shareholder's equity is average of opening and closing of summation of share capital and reserves & surplus.



